common stocks, decisions must also be made that can have just about as great an impact on the chance of uncovering an investment that ten years later will have increased, say, twelve-fold in value one rather than that has not quite doubled.

This is the problem that confronts anyone about to start on a quest for a major growth security: there are literally thousands of stocks in dozens of industries that could conceivably qualify as worthy of the most intensive study. You cannot be sure about many of them until considerable work has been done. However, no one could possibly have the time to investigate more than a tiny per cent of the available field. How do you select the one or the very few stocks to the investigation of which you will devote such time as you have to spare?

This is a far more complex problem than it seems. You must make decisions that can easily screen out from investigation situations that a few years later have produced fortunes. You may make decisions that limit your work to rather barren soil, in that as you gather more data the outlook appears more and more clear that you are approaching the answer you are bound to find in the overwhelming majority of all investigations. This is that the company is run of the mill or maybe a little better, but that it just is not the occasional bonanza that leads to spectacular profit. Yet this key decision determines whether, financially speaking, you are prospecting rich ore or poor on the basis of relatively little knowledge of the facts. This is because you must make decisions on what to or what not to spend your time before you have done enough work to have a proper basis for your conclusion. If you have done enough work to have adequate background for your decisions, you will have already spent so much time on each situation that, in effect, you will have made this vital first decision on a snap basis anyway. You just will not have realized that you have done so.

Some years ago I would sincerely but mistakenly have told you that I used what would have sounded like a neat method for solving this problem. As a result of companies which I had already investigated, and particularly as a result of familiarity with the companies in which the funds I manage were concentrated, I had become friendly with a sizable number of quite able business executives and scientists. I could talk to these people about companies other than their own. I believed that ideas and leads furnished by such unusually well-informed contacts would provide a magnificent supply